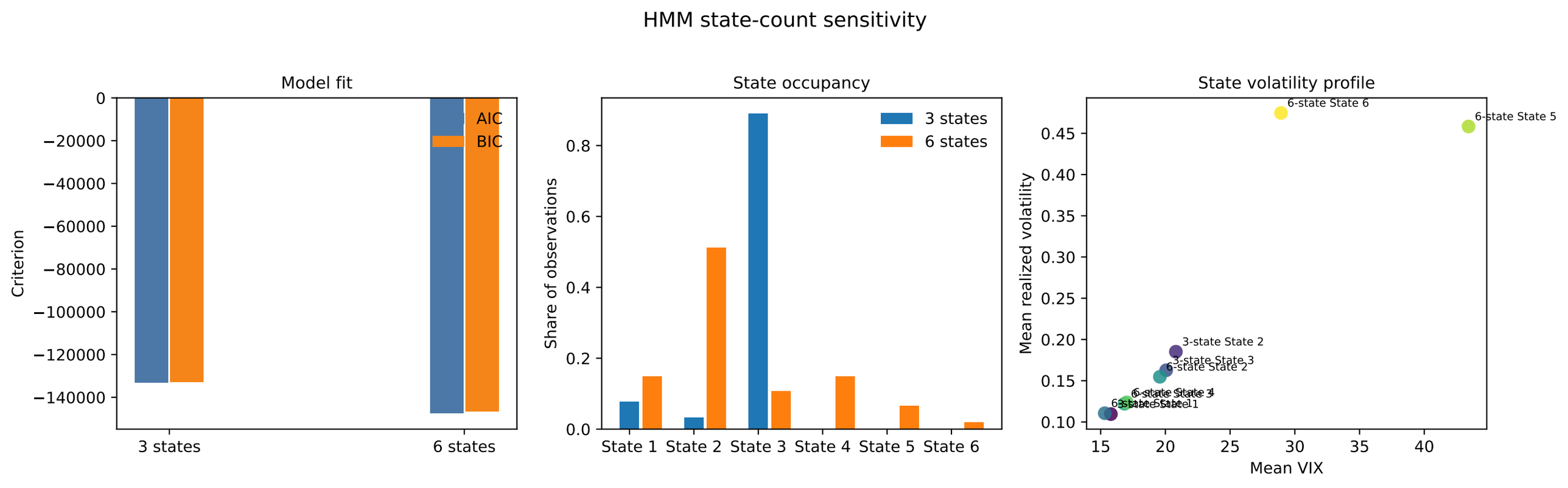
HMM state-count sensitivity
Model fit
Criterion
0
−20000
−40000
−60000
−80000
−100000
−120000
−140000
AIC
BIC
3 states
6 states
State occupancy
Share of observations
0.0
0.2
0.4
0.6
0.8
3 states
6 states
State 1
State 2
State 3
State 4
State 5
State 6
State volatility profile
Mean realized volatility
0.10
0.15
0.20
0.25
0.30
0.35
0.40
0.45
Mean VIX
15
20
25
30
35
40
6-state State 6
6-state State 5
3-state State 2
3-state State 3
6-state State 2
6-state State 4
6-state State 1